

A&B Co
Income Statement
31-Dec-20

\$ \$ \$ \$

Revenue

Sales		500,000.00	
Less Sales Return	5,000.00		
Sales Discount	5,000.00	(10,000.00)	
Net sales			490,000.00

Cost Of Goods Sold

Beg. Inventory		20,000.00	
Purchases	350,000.00		
Add Transportation In	50,000.00		
Total Purchases	400,000.00		
Less Purchase Returns	2,500.00		
Purchase Discounts	2,500.00	(5,000.00)	
Net Purchase		395,000.00	
Cost of goods Available for Sale		415,000.00	
Less Ending Inventory		115,000.00	
Cost OF Goods Sold			300,000.00

Gross Profit

190,000.00

Less Operating Exp

Rent Exp	20,000.00		
Ins. Exp	5,000.00		
Advertisement Exp	10,000.00		
Utility Exp	15,000.00		
		50,000.00	

Net Profit

140,000.00